Zebra Technologies
Second Quarter 2020 Results

July 28, 2020

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit, capital markets volatility, may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters, public health issues (including pandemics), or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions will also have an impact on results. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

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01	**Q2 Highlights**	Anders Gustafsson, CEO
02	**Q2 Financials and Q3 Outlook**	Olivier Leonetti, CFO
03	**Advancing our Vision, Market Trends**	Anders Gustafsson, CEO
04	**Q&A**	Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

Second-Quarter 2020 Highlights

- Our teams remained agile and executed very well during the peak of the global COVID-19 pandemic; delivered on customer commitments and achieved sales and EPS above the midpoint of outlook range

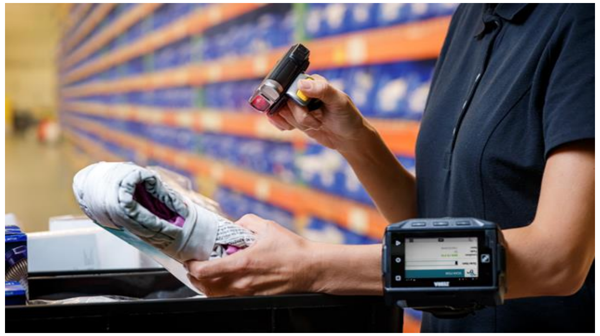
- Net Sales declined 12% (organic)
  - Relative strength in N.A.; sharp declines in APAC and LatAm
  - Large order strength partially offset soft run-rate demand globally
  - Enterprise Mobile Computing relative outperformance; services growth

- Adjusted EBITDA margin of 18.3%, a 290bp year-over-year decrease
  - Gross margin impacted by large order mix, premium freight and other COVID-19 mitigation costs, as well as China import tariffs
  - Diligent cost management mitigated impact of lower sales volumes

- Non-GAAP diluted EPS of $2.41, down 20%, or 61 cents *(27-cent impact from premium freight and tariffs)*

- Global product sourcing diversification initiative substantially complete, despite modest delays due to COVID-19
  - Replicated production lines in order to move U.S. import volume to broader Asia and mitigate risk
  - Tariffs substantially mitigated



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Second-Quarter P&L Summary[1]

In millions, except per share data	2Q20	2Q19	Change
Net Sales	$956	$1,097	(12.9)%
Organic Net Sales Growth[2,3]			(12.0)%
Adjusted Gross Profit	$422	$523	(19.3)%
Adjusted Gross Margin	44.1%	47.7%	(360) bps
Adjusted Operating Expenses	$264	$308	(14.3)%
Adjusted EBITDA	$175	$233	(24.9)%
Adjusted EBITDA Margin	18.3%	21.2%	(290)bps
Non-GAAP Diluted EPS	$2.41	$3.02	(20.2)%

(1) Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results
(2) Assumes constant FX to prior-year period
(3) Excludes revenue from acquisitions for the 12 months following each respective acquisition date

SEGMENT ORGANIC SALES GROWTH[2,3]

- EVM Segment (5.4)%
- AIT Segment (24.9)%

REGIONAL ORGANIC SALES GROWTH[2,3]

- North America (7)%
- EMEA (13)%
- Asia Pacific (21)%
- Latin America (33)%

LOWER EBITDA, EPS

- Lower gross margin due to unfavorable business mix (especially deal size), $15M premium freight and other COVID-19 mitigation costs, and $2M China import tariffs; partially offset by service productivity improvements
- Discretionary operating expense management a partial offset

Balance Sheet and Cash Flow Highlights

Cash Flow

- $322M free cash flow 1H20
  - Lower use of working capital, including benefit from accounts receivable factoring initiative, the primary driver of $157M higher free cash flow vs 1H19
- $31M venture investment in Q2 ($32M in 1H20)
- $200M of share repurchases 1H20 (zero share repurchases in Q2); $753M remaining under the 7/30/19 authorization
- Net debt repayments of $60M in 1H20

Liquidity and Debt

- $63M in cash & cash equivalents as of 2Q20
- $1.2B total debt on balance sheet as of 2Q20
- $915M capacity under revolving credit facility
- Net-debt-to-adjusted-EBITDA ratio of 1.3x

Zebra Successfully Navigating a Challenging Global Environment

- Fortress Balance Sheet
  - $1B revolving credit facility maturing Aug 2024 supported by diversified bank group with strong ratings
  - 1.3x net debt to adjusted EBITDA ratio; ratio would not exceed 2X including pending acquisition of Reflexis
  - Share repurchase authorization a flexible mechanism to return capital to shareholders
- Highly diversified business: global footprint, broad product & solution set, increasingly diverse end-markets
- Capital Light Business Model with < 20% Fixed COGS Profile
  - Outsource vast majority of product manufacturing to reputable third parties
  - ~ 80% of sales volume channeled through third party resellers
- Strong Free Cash Flow Profile
  - Flexible cost structure preserves free cash flow in challenging times
  - Capital expenditures < 1.5% of sales
- Preserving Profitability in Challenging Times
  - Zebra has track record of proactively preserving profits by curbing spend that “does not harm” the business
  - Extending industry leadership position by making bold strategic investments

Outlook & Assumptions (1)

3Q20

- Expect net sales decline of 3-7% due to continued recessionary global environment
  - ~ 50 basis point negative impact from FX
- Adjusted EBITDA margin ~19%
- Non-GAAP diluted EPS range $2.65 to $2.95
- *~ $9M gross profit impact from premium freight cost*

FY20

- Expect net sales decline entirely due to global economic impacts from COVID-19 pandemic
  - ~ 30 basis point additive impact from recently acquired businesses (2)
  - ~ 1 percentage point negative impact from FX
- Expect sales trend bottom in Q2 with improvement in 2H20
- Expect lower EBITDA margin and free cash flow than FY19 due to lower sales volumes, partially mitigated by appropriate cost actions
- Capital expenditures ~ $60-65M (including up to $10M related to our global product sourcing diversification initiative)
- Depreciation ~ $70M and Amortization ~ $65M
- Stock-based compensation expense $45-55M
- Cost of debt (pre-tax) ~ 2-3%
- Non-GAAP tax rate ~ 16%
- *$9M gross profit net impact in 1H20 from China import tariffs*
- *Up to $20M of one-time charges (pre-tax) related to our global product sourcing diversification initiative*

(1) These outlook statements do not include any projected results from the pending acquisition of Reflexis Systems, Inc. which is expected to close by early 4Q20
(2) Refers to impact to growth rate for the 12 months following each respective acquisition date; Cortexica Vision Systems Ltd. acquired on November 5, 2019 and Profitect Inc. acquired on May 31, 2019

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Reflexis Acquisition Advances Zebra's Enterprise Asset Intelligence Vision

Augments Zebra's existing software offerings to optimize workforce execution

- Leading provider of intelligent workforce management, execution, and communication solutions for the retail, food service, hospitality and banking industries
- Advances Zebra's Enterprise Asset Intelligence vision of empowering every worker at the edge with insights that drive real-time actions
- Combining Reflexis' market-leading platform with Zebra's existing software suite, including *Zebra Prescriptive Analytics*, *Workforce Connect* and *SmartCount*, provides the unique opportunity for Zebra to unify the frontline worker experience
- Zebra's scale, vertical market expertise, and go-to-market footprint is expected to create substantial synergies
- High-growth recurring revenue business with $66 million sales in 2019, doubled over a 3-year period
- Gross margin ~ 20 percentage points higher than Zebra's total gross margin
- $575 million purchase price to be funded with a combination of cash and fully committed financing available under credit facility
- Transaction expected to close by early Q4 and have an immaterial impact to earnings in year one

REFLEXIS

Building on Zebra's Foundational Capabilities

Focused on Scaling Solutions that Drive Actionable Insights

CUSTOMER BENEFIT

End-To-End Workflow Optimization

INTELLIGENT EDGE SOLUTIONS

Zebra **Savanna**™

Zebra **MotionWorks**®
Powered by Zebra Savanna℠

Zebra **Data Services**

Zebra **SmartLens**®
Powered by Zebra Savanna™

Zebra **VisibilityIQ**™
Powered by Zebra Savanna™

Zebra **SmartSight**™

REFLEXIS

Zebra **Workforce Connect**™
Powered by Zebra Savanna™

Zebra **Prescriptive Analytics**™
Powered by Zebra Savanna™

Zebra **SmartCount**™

Zebra **FulfillmentEdge**™
Powered by Zebra Savanna™

Zebra **SmartPack**™
Powered by Zebra Savanna™

EMERGING TECHNOLOGIES

Computer Vision | **Machine Learning** | **Artificial Intelligence** | **Intelligent Automation & Collaboration**

STRATEGIC FRAMEWORK

SENSE

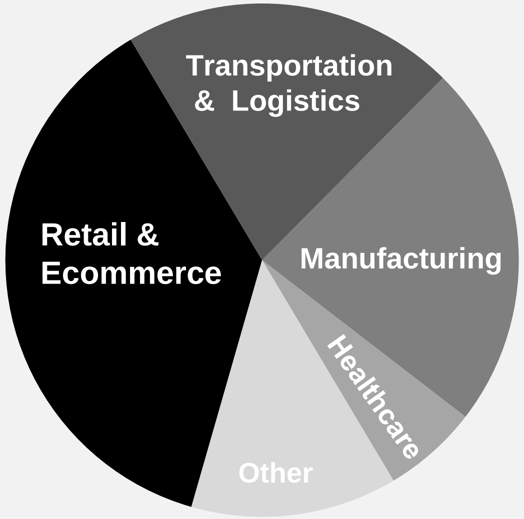
ANALYZE

ACT

Mixed Demand Impacts in our Diversified End Markets

Market Served	Current Key Drivers	Longer-Term Opportunity
Healthcare	↑ Clinical care treatment remains critical ↑ Our solutions used for COVID-19 response: drive thru testing, lab management, temp facilities ↓ Elective care was suspended, now resuming	• Our purpose-built solutions are critical • Strong supplies offerings in Wristband and Temptime • Transformation to accelerate post-COVID-19 (e.g. mobility, contact tracing, remote patient care)
Retail / Ecommerce	↑ Mass merchant, grocery, e-tail subsectors (~2/3rds of Zebra's retail vertical sales) ↑ Step change in consumer adoption of omnichannel/ecommerce during pandemic ↓ Brick & mortar reliant department stores and apparel retailers challenged; reopening with caution ↓ Push-outs on certain projects requiring demos/trials	• BOPIS and delivery use cases expanding • Investment in tech and automation necessary for retail model transformation • Track & trace from production to shelf • Limited exposure to legacy Retail POS creates opportunity • Mobile computer for all associates
Transportation & Logistics	↑ Increased ecommerce demand; 3PL and couriers delivering the essentials ↓ Aviation/auto passenger transport challenged	• Small parcel delivery growing exponentially • Last mile fulfillment increasingly important • Supply chain efficiency and resiliency gaps highlighted during pandemic need to be addressed through intelligent automation
Manufacturing	↑ Process manufacturing (e.g. food, pharma) ↓ Discrete manufacturing (e.g. aviation, auto) most impacted by social distancing and trade tensions ↑ Diversification of supply chain creating opportunities outside of China ↓ Run rate business soft yet improving	• Manufacturing transformation including intelligent automation • Opportunities to increase automation in workflows (e.g. cobots, proximity sensing/tracking) • Track & trace from production to shelf

Sales Mix by Vertical



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Q&A

Appendix

Use of Non-GAAP Financial Information

This press release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

(Unaudited)

	Three Months Ended June 27, 2020		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	(25.7)%	(6.3)%	(12.9)%
Adjustments:			
Impact of foreign currency translation[1]	0.8%	1.2%	1.0%
Impact of acquisitions [2]	—%	(0.3)%	(0.1)%
Organic Net sales growth	(24.9)%	(5.4)%	(12.0)%

	Six Months Ended June 27, 2020		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	(11.1)%	(5.2)%	(7.2)%
Adjustments:			
Impact of foreign currency translation[1]	0.9%	1.5%	1.3%
Impact of acquisitions [2]	(0.9)%	(0.5)%	(0.6)%
Organic Net sales growth	(11.1)%	(4.2)%	(6.5)%

(1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.

(2) For purposes of computing Organic Net sales, amounts directly attributable to the Temptime acquisition (included in our consolidated results beginning February 21, 2019), Profitect acquisition (included in our consolidated results beginning May 31, 2019), and Cortexica acquisition (included in our consolidated results beginning November 5, 2019) are excluded for twelve months following the respective acquisition dates.

GAAP to Non-GAAP Gross Margin Reconciliation

(In millions)
(Unaudited)

	Three Months Ended					
	June 27, 2020			June 29, 2019		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales	$ 275	$ 681	$ 956	$ 370	$ 727	$ 1,097
Reported Gross profit (1)	123	298	419	182	340	520
Gross Margin	44.7%	43.8%	43.8%	49.2%	46.8%	47.4%
Non-GAAP						
Adjusted Net sales	$ 275	$ 681	$ 956	$ 370	$ 727	$ 1,097
Adjusted Gross profit (2)	124	298	422	183	340	523
Adjusted Gross Margin	45.1%	43.8%	44.1%	49.5%	46.8%	47.7%

	Six Months Ended					
	June 27, 2020			June 29, 2019		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales	$ 646	$ 1,362	$ 2,008	$ 727	$ 1,436	$ 2,163
Reported Gross profit (1)	304	591	892	366	658	1,021
Gross Margin	47.1%	43.4%	44.4%	50.3%	45.8%	47.2%
Non-GAAP						
Adjusted Net sales	$ 646	$ 1,362	$ 2,008	$ 727	$ 1,436	$ 2,163
Adjusted Gross profit (2)	305	592	897	367	659	1,026
Adjusted Gross Margin	47.2%	43.5%	44.7%	50.5%	45.9%	47.4%

(1) Consolidated results include corporate eliminations related to business acquisitions that are not reported in segment results.
(2) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended		Six Months Ended	
	June 27, 2020	June 29, 2019	June 27, 2020	June 29, 2019
Net income	$ 100	$ 124	$ 189	$ 239
Adjustments to Cost of sales[1]				
Purchase accounting adjustments	—	2	—	3
Share-based compensation	1	1	2	2
Product sourcing diversification initiative	2	—	3	—
Total adjustments to Cost of sales	3	3	5	5
Adjustments to Operating expenses[1]				
Amortization of intangible assets	16	30	32	58
Acquisition and integration costs	1	4	2	8
Share-based compensation	16	17	21	29
Exit and restructuring costs	2	1	6	2
Product sourcing diversification initiative	1	—	5	—
Total adjustments to Operating expenses	36	52	66	97
Adjustments to Other expenses, net[1]				
Amortization of debt issuance costs and discounts	—	1	1	2
Investment gain	(7)	(4)	(7)	(3)
Foreign exchange loss	9	1	12	4
Forward interest rate swaps loss	7	15	42	23
Total adjustments to Other expenses, net	9	13	48	26
Income tax effect of adjustments[2]				
Reported income tax expense	3	5	17	21
Adjusted income tax	(21)	(32)	(50)	(63)
Total adjustments to income tax	(18)	(27)	(33)	(42)
Total adjustments	30	41	86	86
Non-GAAP Net income	$ 130	$ 165	$ 275	$ 325
GAAP earnings per share				
Basic	$ 1.87	$ 2.28	$ 3.53	$ 4.43
Diluted	$ 1.85	$ 2.26	$ 3.49	$ 4.37
Non-GAAP earnings per share				
Basic	$ 2.44	$ 3.06	$ 5.13	$ 6.02
Diluted	$ 2.41	$ 3.02	$ 5.08	$ 5.95
Basic weighted average shares outstanding	53,188,486	54,027,576	53,533,116	53,965,181
Diluted weighted average and equivalent shares outstanding	53,675,730	54,648,699	54,055,324	54,602,372

(1) Presented on a pre-tax basis.
(2) Represents adjustments to the GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions) and to exclude the impacts of certain discrete income tax items.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended		Six Months Ended	
	June 27, 2020	June 29, 2019	June 27, 2020	June 29, 2019
Net income	$ 100	$ 124	$ 189	$ 239
Add back:				
Depreciation (excluding exit and restructuring costs)	17	18	35	37
Amortization of intangible assets	16	30	32	58
Total Other expenses, net	16	31	64	59
Income tax expense	3	5	17	21
EBITDA (Non-GAAP)	152	208	337	414
Adjustments to Cost of sales				
Purchase accounting adjustments	—	2	—	3
Share-based compensation	1	1	2	2
Product sourcing diversification initiative	2	—	3	—
Total adjustments to Cost of sales	3	3	5	5
Adjustments to Operating expenses				
Acquisition and integration costs	1	4	2	8
Share-based compensation	16	17	21	29
Exit and restructuring costs	2	1	6	2
Product sourcing diversification initiative	1	—	5	—
Total adjustments to Operating expenses	20	22	34	39
Total adjustments to EBITDA	23	25	39	44
Adjusted EBITDA (Non-GAAP)	$ 175	$ 233	$ 376	$ 458
Adjusted EBITDA % of Adjusted Net Sales	18.3%	21.2%	18.7%	21.2%

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Six Months Ended	
	June 27, 2020	June 29, 2019
Net cash provided by operating activities	$ 355	$ 195
Less: Purchases of property, plant and equipment	(33)	(30)
Free cash flow (Non-GAAP)[(1)]	$ 322	$ 165

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.